

Loop Capital Asset Management

Firm-Wide Compliance Policy: Concentration & Risk Limits

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1. Purpose

This policy establishes firm-wide rules for monitoring position concentration, sector exposure, and leverage across all managed portfolios, ensuring adherence to each portfolio's individual Investment Mandate and applicable regulatory requirements under the Investment Advisers Act of 1940.

2. Standard Concentration Limits

Absent a portfolio-specific mandate override, the firm's standard single-security concentration limit is 20% of portfolio market value. This is a hard limit for growth-oriented and balanced mandates; income-oriented mandates (e.g. PORT-002-INCOME) apply a lower 15% limit given lower liquidity in fixed income instruments and heightened duration risk concerns.

3. Breach Classification & Escalation

Severity	Threshold	Escalation SLA	Approval Required
WARNING	Within 5% of limit	5 business days	Portfolio Manager
CRITICAL	Limit breached	1 business day	CCO + CIO
SYSTEMIC	3+ portfolios breached	Same day	CEO + Board notification

4. Remediation Requirements

A CRITICAL breach requires the Portfolio Manager to submit a written remediation plan to Compliance within 24 hours, specifying: (a) the trades required to return to compliance, (b) the expected completion date (not to exceed 5 business days absent CIO waiver), and (c) root-cause analysis (market drift vs. active decision). Compliance logs every breach in the firm's breach register regardless of remediation status, for regulatory examination readiness.

5. Automated Monitoring

The firm's risk systems calculate position weights daily against each portfolio's governing mandate. Any detected breach automatically generates a compliance alert and is logged to the mart_compliance_breaches table for audit trail purposes. This policy applies uniformly across all custodied assets regardless of source system (SSIS extracts, direct custodian feeds, or manual adjustments).